

“It’s high time we moved on to a **differentiated spending strategy** for the country. You can’t have one central strategy, a one-size-fits-all.”

AJIT RANADE, CHIEF ECONOMIST, AV BIRLA GROUP

Dev: On implementation, I think there are success stories which have not worked well. In education, things have improved but in health we have a problem. In fact, some of the farmer suicides are because of the health expenditures.

Ranade: The flagship programme of the CPA was employment guarantee scheme and CAG has indicted it saying that the overall success rate is very small. But the very same programme is doing wonders in Andhra Pradesh, Rajasthan and Kerala. It is time we moved on to a differentiated strategy. You cannot have one central strategy, one-size-fits-all.

Chawla: Has CPA’s social spend made a dent?

Roy: The spending has been there; but none of it is catalytic in nature. It does not create a further ripple effect. But, somehow, we do not want to take that kind of decision. We only believe in giveaways.

Debroy: If there is one thing I had expected this government to do because the ministers keep quoting Rajiv Gandhi so much, is to improve the efficiency of expenditure. There are all kinds of ways to do it. The single most important failure of the government is not having been able to do that.

Chawla: Where do we park this accountability? Who is accountable, who is the villain?

Debroy: The villain is the fact that we have simply too many ministries and the 85 per cent leakage is not all corruption. A large part of it is administrative cost of delivery.

Should India bid **GOODBYE TO FRBM?**

Chawla: With nearly Rs 1,00,000 crore off budget, should we say goodbye to the FRBM Act?

Ranade: We should not.



RAVI S. SAHANI

Ajay: It is like observing it in letter but not in spirit. We are observing the law in letter but not in spirit.

Ranade: I would say now it is time to draft an FRBM-II where these kinds of loopholes are plugged.

Bery: For 15 years from 1991 to 2004, we had something like that where we basically felt that there was predictability in the way the State interacted with the rest of the economy. I think that an element of arbitrariness has come back in. On the one hand you have this Budget and this minister and the Economic Survey saying “we are going to list more psus” but on the other hand, you have, as it were, the disregard of the interests of the minority shareholders, in banks and oil companies.

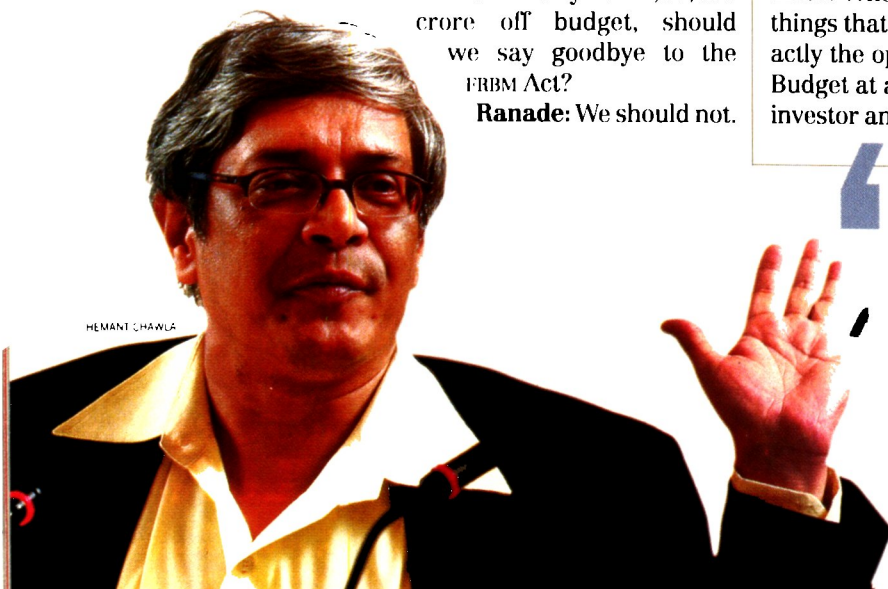
I think that if the essence of a democracy is restraining the right to domain and the like, of government, I think this has not been an impressive episode. Coming to the FRBM I must say I worked for long time on Latin America and essentially when Brazil finally got serious with this Act there were criminal penalties because they saw the end game in terms of hyper inflation etc. For whatever reason, this is at the moment, still a kind of a county cricket match; this is not Twenty20.

Chawla: There is no allocation of either pay commission or bond loan. The other thing which is reflected in the Budget is increasing expenditure on education, social sector etc.

Shah: When you come to the election cycle, these are the things that a government can fool around with. But it is exactly the opposite of what you said. I wish we had a single Budget at a glance that you could show to an international investor and say this is where India is. Unfortunately, we do

“I don’t buy the argument of being constrained due to coalition politics. If I list out constraints, every silly policy can be made to seem optimal.”

BIBEK DEBROY, PROFESSOR, CPR



HEMANT CHAWLA